

Jiangxi University of Finance and Economics

EFQM Excellence Model Report

Luckin Coffee Inc.

A Technology-Driven New Retail Coffee Enterprise

IK2015: Enterprise Architecture and Database Programming

Seminar 3

Group 4

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1 EFQM Quality Management Approach

The EFQM Excellence Model provides a comprehensive framework for assessing organisational performance across nine criteria: five 'Enablers' (what an organisation does) and four 'Results' (what it achieves). This section applies these criteria to Luckin Coffee's technology-driven operations.

1.1 Enablers

1. Leadership

Leadership is embodied by the executive team (notably CEO Dr. Jinyi Guo), who drove the post-2020 turnaround with a tech-startup mindset. They enforce a mobile-first vision by standardising operations across 31,048 stores entirely through algorithmic decision-making. Strategy is reviewed via rigorous data analytics on store profitability, supported by strict corporate governance and compliance auditing to maintain a 10.3% operating margin.

2. People

Store staff and IT developers are critical to Luckin's highly standardised model. Management is system-driven: staff use digital app modules for training and SOPs, while workforce scheduling relies on predictive demand models. Rewards and recognition are tied to objective system metrics like order fulfilment times, creating a tight feedback loop that swiftly corrects inefficiencies.

3. Policy & Strategy

Stakeholder expectations (from investors to franchisees) are managed through mass digital interactions. Strategic plans rely on Luckin's proprietary big data platform, using A/B testing for product launches (e.g., Coconut Latte) and data reviews to drive the expansion of 10,814 asset-light "partnership stores" in lower-tier cities. These plans are seamlessly embedded into operational software and immediately transmitted to store terminals.

4. Partnerships & Resources

Partnerships provide capabilities Luckin doesn't build in-house, such as Tencent (WeChat) for user acquisition and Meituan for delivery. Key resources include roasting facilities in Fujian/Jiangsu/Yunnan, automated IoT coffee machines, and proprietary IT infrastructure. Buildings are kept minimal (pickup kiosks) to control rent, while capital is strictly managed to balance growth with disciplined profitability.

5. Processes

Key processes encompass digital order capture, demand forecasting, store-level fulfilment, and delivery routing. These workflows are managed through algorithmic automation rather than manual oversight; for example, the app dynamically reroutes orders if a store is overwhelmed. Analytics teams continuously review system uptimes and waste rates to eliminate operational bottlenecks.

1.2 Results

6. Customer Results

Customer metrics validate the core value proposition of convenience and affordability. Luckin dynamically tracks and reports monthly average transacting customers (94.2 million in FY2025), app ratings, and delivery times through internal heatmaps, informing regional managers of shifting customer satisfaction and retention trends.

7. People Results

High employee compliance is essential for product consistency. The company measures training module completion rates, SOP audit scores, and orders processed per hour. These results directly dictate store manager evaluations and refine future digital training protocols.

8. Society Results

To rebuild trust post-2020, societal and governance impacts are transparently communicated through SEC Form 20-F filings and ESG reports. Initiatives include sweeping internal control reforms and the direct procurement of sustainable coffee beans from Yunnan, supporting local agriculture while reducing import carbon footprints.

9. Key Performance Results

Key financial and operational outcomes are seamlessly captured via the central ERP. In FY2025, Luckin achieved RMB 49.3 billion in net revenue and RMB 5.1 billion in operating income across 31,048 stores. Managers track specific P&L and KPIs daily, deploying algorithms to close underperforming locations and optimise supply chains.